

CHAPTER 17

An Act to make certain provision of a financial nature in connection with the assistance furnished to the United Kingdom in pursuance of the Act of the Congress of the United States of America known as the Economic Cooperation Act of 1948, or any other Act of the Congress of the United States of America for amending or supplementing that Act or for making appropriations thereunder, and any assistance furnished by or to the United Kingdom in pursuance of agreements entered into by members of the Organisation for European Economic Co-operation.

[9th March 1949.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The Treasury shall have the two following accounts, The two
Treasury
accounts.
that is to say—

- (a) the special account opened before the passing of this Act in pursuance of Article 4 of the Economic Co-operation Agreement between the Governments of the United Kingdom and the United States of America dated the sixth day of July, nineteen hundred and forty-eight (hereafter in this Act referred to as "the Special Account");
- (b) an account to be opened in pursuance of this Act (hereafter in this Act referred to as the "Intra-European Payments Account").

(2) The Treasury shall prepare, in respect of each of the said accounts, statements of account for each financial year and shall transmit them to the Comptroller and Auditor General before the end of November next following the end of the financial year in question, and the Comptroller and Auditor General shall examine and certify the statements of account so prepared and lay copies thereof before each House of Parliament together with his reports thereon.

(3) For the purpose of the last preceding subsection, this Act shall be treated in relation to the Special Account as if it had been passed before the opening thereof, and any operations on and transactions in connection with the Special Account which took place before the passing of this Act shall be dealt with accordingly.

The Special Account.

2.—(1) There shall be paid into the Special Account—

- (a) the sterling equivalent of any American aid furnished to the United Kingdom on a grant basis; and
- (b) except so far as may be otherwise agreed between the Governments of the United Kingdom and the United States of America, the sterling equivalent of any amounts made available to the Government of the United Kingdom by any other member of the Organisation for European Economic Co-operation in pursuance of Part II of the agreement hereinafter referred to.

The said agreement (hereafter in this Act referred to as “the Intra-European Agreement”) is the agreement entitled the Agreement for Intra-European Payments and Compensations which was signed in Paris on the sixteenth day of October, nineteen hundred and forty-eight.

(2) There shall be paid out of the Special Account any amounts which, under any agreement between the Governments of the United Kingdom and the United States of America, have to be made available therefrom to the Government of the United States of America.

(3) If the Government of the United States of America consents that the Government of the United Kingdom should draw upon the Special Account for any purpose, the Special Account may be drawn upon accordingly.

The Intra-European Payments Account.

3.—(1) There shall be paid into the Intra-European Payments Account the sterling equivalent of any American aid furnished to the United Kingdom on condition that the Government of the United Kingdom makes the said equivalent available under Part II of the Intra-European Agreement to other members of the Organisation for European Economic Co-operation.

(2) There shall be paid out of the Intra-European Payments Account any sums which the Government of the United Kingdom has to make available under Part II of the Intra-European Agreement to other members of the Organisation for European Economic Co-operation.

(3) Temporary advances may be made out of the Civil Contingencies Fund to the Intra-European Payments Account for the purpose of enabling payments to be made out of that Account under subsection (2) of this section in advance of payments falling to be made into that Account under subsection (1) of this section, and section three of the Miscellaneous Financial Provisions Act, 1946 (which authorises issues to the Civil Contingencies Fund out of the Consolidated Fund to provide funds for making advances in respect of urgent services) shall apply in relation to advances made under this subsection as if those advances were such advances as are mentioned in subsection (1) of that section.

4. If it appears to the Treasury that any sum which has been paid into or out of the Special Account or into or out of the Intra-European Payments Account ought by reason of any change in circumstances to be treated as a sum falling to be paid into, or, as the case may be, out of, the other of those accounts, the Treasury may make from the one Account to the other Account such payments as are necessary to adjust the matter.

Adjustments
between the
Accounts.

5.—(1) Any reference in this Act to the Intra-European Agreement or to any provision thereof shall be construed as a reference to that Agreement or that provision as for the time being amended by any subsequent agreement made between all the parties to that Agreement or by any subsequent agreement approved by the Council of the Organisation for European Economic Co-operation the parties to which include the Government of the United Kingdom.

Agreements
amending or
continuing the
Intra-European
Agreement.

(2) This Act shall apply in relation to any agreement to which the Government of the United Kingdom is a party which is made, whether directly or indirectly, in continuation of or in substitution for the whole or any part of the Intra-European Agreement as it applies in relation to the Intra-European Agreement, and references in this Act to Part II of the Intra-European Agreement shall be construed as references to the corresponding provisions of any such agreement so made.

6.—(1) Any reference in this Act to American aid furnished to the United Kingdom shall be construed as a reference to goods or services furnished to the United Kingdom by or at the expense of the Government of the United States of America in pursuance of the Act of the Congress of the United States of America known as the Economic Cooperation Act of 1948, or any other Act of the Congress of the United States of America for amending or supplementing that Act or for making appropriations thereunder; and any reference in this Act to American aid furnished to the United Kingdom on a grant basis shall be construed as a reference to American aid furnished to the United Kingdom otherwise than by way of loan and without the Government of the United Kingdom becoming as a result thereof under any obligation to make any sums available to any other member of the Organisation for European Economic Co-operation.

Interpretation.

(2) In this Act, the expression "the Organisation for European Economic Co-operation" means the organisation set up under that name by the convention entitled the Convention for European Economic Co-operation which was signed in Paris on the sixteenth day of April, nineteen hundred and forty-eight.

7. This Act may be cited as the American Aid and European Payments (Financial Provisions) Act, 1949.

